

Naturally, you use all the angles your local tax guy can figure out. But a real tax strategy will involve some form of expatriation so that you will be able to use the opportunities that sophisticated international tax planning allows you.

PUTTING IT ALL TOGETHER

Now let's try to put the pieces of the hard structure together. This is a strategy developed for Americans. But there are elements to it that could be useful to almost anyone.

You can hardly mention the subject of expatriation in America without at least a few people getting hot under the collar. Some people—often members of Congress—think expatriation is “unpatriotic.” They think it is a disloyal, even traitorous, act.

“After all the United States of America has done for you,” they say, “you’re turning your back on us!”

Well, there are probably many people who would like to turn their backs on America and stop being Americans. But that's not what this strategy is about. It's about a family's financial strategy. We're not talking about loyalties, fidelities, sentimentalities, or even nationalities.

If you are an American citizen, alas, you can benefit from this strategy only if one trusted member of the family is *not* American. For citizens of other countries, this is not a problem. But let's talk to Americans for a moment. We're not suggesting that anyone stop being an American. We're suggesting that someone in your family might want to give up his U.S. citizenship rights and responsibilities for the benefit of the family. He will still be an American; he will not be a U.S. citizen.

In fact, it's almost impossible for most of us to stop being Americans. Whether we were born into it or became American by choice, it's not something we can easily turn our backs on.

We are still proud to be Americans, but we are not necessarily proud of our current government.

Nationality is what you are: the product of education, birth, and experience. You can go and live wherever you want; if you are American